

Luxury Real Estate Development Glossary



ACQUISITION & DEAL STRUCTURE (LUXURY CONTEXT)

Acquisition

The purchase or control of a high-value property or land intended for luxury development.

Used in a sentence:

“We’re underwriting the acquisition assuming a \$6.5M luxury exit.”

Off-Market

A luxury property sold privately without MLS exposure, often for discretion or pricing leverage.

Used in a sentence:

“The seller prefers an off-market deal to avoid public price discovery.”

Assignment

Transferring contractual rights to another buyer, often an entity or capital partner.

Used in a sentence:

“We assigned the contract to our luxury development LLC before closing.”

Assignment Fee

Compensation paid for controlling and transferring a valuable luxury deal.

Used in a sentence:

“The assignment fee reflects the entitlement upside we created.”

Letter of Intent (LOI)

A non-binding outline of deal terms used to frame a luxury transaction before contracts.

Used in a sentence:

“We sent an LOI at \$4.2M with a 30-day close and no financing contingency.”



CONTRACT & LEGAL (HIGH-END DEALS)

Addendum

A written change to a contract, commonly used for entity swaps or timeline adjustments.

Used in a sentence:

“We used an addendum to change the buyer to our luxury holding company.”

Contingency

A condition that must be satisfied, often limited in luxury deals for strength.

Used in a sentence:

“The offer waived appraisal and limited inspection contingencies.”

Due Diligence (DD)

Detailed investigation of zoning, utilities, comps, and build feasibility.

Used in a sentence:

“During DD we verified setback flexibility and luxury resale comps.”

Effective Date

The date a fully executed luxury contract becomes binding.

Used in a sentence:

“The effective date starts our entitlement timeline.”



ESCROW, TITLE & CLOSING

Escrow

A neutral third party handling funds and documents for a high-value transaction.

Used in a sentence:

“Escrow is holding a seven-figure earnest deposit.”

Close of Escrow (COE)

The moment legal ownership transfers and funds are released.

Used in a sentence:

“We’re targeting COE immediately after city approval.”

Title Commitment

A preliminary report outlining ownership and any restrictions affecting luxury use.

Used in a sentence:

“The title commitment confirmed no height restrictions.”

Title Insurance

Protection against unknown ownership or lien issues.

Used in a sentence:

“On luxury deals, extended coverage title insurance is standard.”

LAND, ZONING & ENTITLEMENTS (CRITICAL IN LUXURY)

Zoning

Rules governing use, density, and form of luxury development.

Used in a sentence:

“The zoning allows one ultra-luxury estate or two high-end residences.”

Entitlements

All approvals required to legally build a luxury product.

Used in a sentence:

“The value creation is entirely in the entitlements.”

Variance

Special permission to deviate from zoning rules.

Used in a sentence:

“We pursued a variance for increased height to capture views.”

Setbacks

Required distances between structures and property lines.

Used in a sentence:

“Setback relief allowed us to expand the main living space.”

Easement

Legal right for utilities or access that can impact design.

Used in a sentence:

“The utility easement dictated the garage placement.”

DEVELOPMENT & CONSTRUCTION (LUXURY FOCUS)

Spec Home (Luxury Spec)

A high-end home built without a buyer, designed for resale.

Used in a sentence:

“This is a \$9M luxury spec targeting cash buyers.”

Custom Home

A residence designed for a specific end user.

Used in a sentence:

“The buyer is doing a full custom with imported finishes.”

Horizontal Development

Infrastructure work such as grading, utilities, and access.

Used in a sentence:

“Horizontal costs are minimal due to existing utilities.”

Vertical Development

Construction of the luxury structure itself.

Used in a sentence:

“Vertical construction is projected at \$650 per square foot.”

Hard Costs

Physical construction expenses.

Used in a sentence:

“Hard costs are elevated due to stone, steel, and glass.”

Soft Costs

Design, engineering, permitting, and professional fees.

Used in a sentence:

“Soft costs increased after multiple architectural revisions.”

FINANCING & CAPITAL (HIGH-NET-WORTH DEALS)

Capital Stack

All sources of money in the project.

Used in a sentence:

“The capital stack includes private equity and a construction loan.”

Equity

Cash invested for ownership and upside.

Used in a sentence:

“The equity partner expects a preferred return.”

Construction Loan

Short-term financing to build the luxury home.

Used in a sentence:

“The bank approved a 65% LTC construction loan.”

Draw Schedule

Planned release of loan funds during construction.

Used in a sentence:

“Draws are tied to milestone inspections.”

Interest Carry

Interest paid during development.

Used in a sentence:

“Interest carry was factored into total project costs.”



VALUE, RETURNS & EXIT

ARV (After Repair Value)

Projected market value after completion.

Used in a sentence:

“The ARV supports a \$10M resale based on comps.”

As-Is Value

Current value without improvements.

Used in a sentence:

“As-is value is driven by lot size and views.”

Comps (Comparable Sales)

Recent luxury sales used to estimate value.

Used in a sentence:

“We underwrote based on three \$9M comps.”

IRR (Internal Rate of Return)

Annualized return over time.

Used in a sentence:

“The deal pencils to a 28% IRR.”

Exit Strategy

Planned way to profit from the project.

Used in a sentence:

“The exit is a retail sale to a cash buyer.”



RISK & STRATEGY (LUXURY-SPECIFIC)

Entitlement Risk

Risk that approvals are delayed or denied.

Used in a sentence:

“The discount reflects entitlement risk.”

Market Risk

Risk related to luxury buyer demand.

Used in a sentence:

“We’re insulated from market risk due to scarcity.”

Absorption Rate

Speed at which luxury homes sell.

Used in a sentence:

“Absorption remains strong above \$8M.”

Stabilized

Property operating at expected performance.

Used in a sentence:

“The asset stabilizes immediately upon sale.”